



EF3333

Financial Markets, Systems, and
Instruments
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FINAL REPORT

Hong Kong

Course Instructor: Dr. Andrew Wong

Group 2:

KOJONGIAN Gracelynn (57887115)

WITARIA Brian Tobias (57907500)

COOK Brendan (40161742)

YOLANDA Valeryn (57884567)

SOE Waiyan Htet (58312920)

BENNY Aaron Thomas (40161766)

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I. HISTORICAL DEVELOPMENT

Hong Kong's historical development can be divided into three distinct eras: the colonial, the post-war, and the modern era. These periods, spanning from 1842 to the present, highlight Hong Kong's transformation from a small trading port to a globally recognized financial powerhouse. Although China's economic development can be traced back 3,000 years or more, modern banking and securities markets did not emerge in Hong Kong until the late 19th century, which means that it established a strong presence in a relatively short time compared to other countries (*Financial History*, 2024). Hong Kong has done a great job making itself stand out in the financial industry due to its centralized location, vast network, and favorable working factors regarding its laws and taxes.

Colonial Era

After Hong Kong was ceded to the British under the Treaty of Nanking in 1842, the colony quickly became a regional hub for commercial and financial services (Schenk, 2008). This treaty began Hong Kong's journey, allowing a small yet powerful group of 7500 people to pave the way for a remarkable transformation into a globally recognized power. Hong Kong's evolution into an international financial center began during the colonial era, highlighted by the establishment of several foreign banks, including Favorable Bank, Standard Chartered Bank, East Fan Bank, and HSBC (Jin, 2024). These institutions laid the groundwork for a thriving financial market by attracting significant investment and providing flexible services. In addition to banking, the insurance industry played an important part in making Hong Kong the superpower it is today. They established gold and silver trading courts, which drew in more investors and traders, further solidifying Hong Kong's position as a key gold trading hub.

Post-War Era

The Post-War Era followed the Colonial Era in Hong Kong. After World War II, the financial markets in Hong Kong experienced a phase of rapid growth and prosperity. This is partly from the merging of the two main stock exchanges in Hong Kong: The Association of Stockbrokers in Hong Kong and The Hong Kong Stockbrokers' Association. Following the establishment of the People's Republic of China (PRC) in 1949, the mainland isolated itself from the international economy due to ideological reasons and Cold War embargoes. Nevertheless, Hong Kong remained essential for the PRC by facilitating imports of food and water, making this trade a vital source of foreign exchange (Schenk, 2008). The importance of this trade was that the revenue gained from it kept the cost of living low and allowed people to live much more easily during a period of industrialization. Industrialization in Hong Kong accelerated post-1945

with a huge influx of refugees, entrepreneurs, and capital fleeing the mainland's civil war (Schenk, 2008), meaning that Hong Kong benefited from the people who left the war and were trying to rebuild their lives by creating new businesses and bringing more money into the economy. This large increase in population is part of the reason why the development of Hong Kong is unique, with there being mostly small and medium-sized enterprises instead of larger corporations. By 2002, small and medium-sized enterprises made up 98% of enterprises and provided 60% of private employment (Schenk, 2008).

Modern Era

The final era of Hong Kong's historical development is the modern era. The financial market has continued to evolve, and some key milestones include implementing the Linked Exchange Rate System in 1983, which aimed to stabilize the exchange rate between the Hong Kong Dollar and the US Dollar (*Financial History*, 2024). In 2000, the Stock Exchange of Hong Kong merged with the Hong Kong Futures Exchange and the Hong Kong Securities Clearing Company to form Hong Kong Exchanges and Clearing Limited (HKEX). Additionally, the government's intervention in the Asian Financial Crisis in 1997-2002 by maintaining their currencies' exchange rate with the US dollar was a big help in allowing Hong Kong to not be destroyed by it. One big takeaway from the Asian Financial Crisis for Hong Kong was that its economic prospects are now tied more closely to the mainland because the PRC did not fare as badly from the regional crisis (Schenk, 2008). Through the recent hardships of the Asian Financial Crisis and the Global Financial Crisis in 2008, Hong Kong has proven that it is resilient and can overcome any challenge that comes its way. It will continue to be a leader in the financial industry. To further show this, Hong Kong was one of the only places that was not heavily affected by COVID-19. The government, which usually does not intervene, launched a HK \$287.5 billion stimulus package aimed at economic relief. They targeted vulnerable industries such as retail and tourism due to a lack of people moving throughout the country (Hong Kong Economic and Trade Office, 2021). Hong Kong did a great job at preparing for the oncoming lack of economic movement, and because of this, it did not lose nearly as much money as other places around the world. By preparing and supporting local businesses, Hong Kong was able to make sure its people did not lose their jobs, which made the economy remain strong.

Today, as one of the leading international financial centers, Hong Kong is a prime location and home to many financial institutions (Hong Kong Monetary Authority, 2025). These institutions are extremely important for Hong Kong's economy, and they ensure that they are thriving financially. Hong Kong also benefits from close financial integration with Mainland China, a simple tax regime, and extensive networks with the rest of the world, which can be seen

with the financial sector directly contributing 24.9% to Hong Kong's GDP in 2023 (Hong Kong Monetary Authority, 2025). This number is impressive because the portion of people working in the financial sector is only 7.3%, meaning that proportionally, they are an integral part of Hong Kong's economy. Hong Kong began with almost nothing and turned into a financial powerhouse and leader for other developing countries, which is what makes it so special.

II. CURRENT STATUS AND ENVIRONMENTS

A) RESOURCES

1. Banking sector

According to the Hong Kong Monetary Authority, Hong Kong is an international banking center, with over 70 of the largest 100 banks in the world located in Hong Kong and 15 out of 29 globally systemically important banks having their regional headquarters there. The banking industry plays a crucial role in facilitating trade, investment, and financial services both domestically and internationally.

2. Stock market

Hong Kong's stock market was the fourth largest in Asia and the seventh largest in the world in terms of market capitalization at the end of August 2024. The Hong Kong Exchange (HKEX) is one of the largest in the world with a total market capitalization of about HK\$35 tn (HKTDC, 2024).

3. Trade and Logistics

Hong Kong is an international trade and logistic hub because of its strategic location. Besides its role in facilitating international trade, Hong Kong's logistics sector plays a crucial role in connecting the rest of the world with Mainland China.

4. Government Reserves

Government reserves refers to the fund that the government set aside for future use. Hong Kong's fiscal reserves are estimated to stand at HKD 1.065 trillion by the end of March 2027, which is equivalent to roughly 16 months of government expenditures (KPMG, 2023). These fiscal reserves provide financial stability and resources for infrastructure development.

5. Connection with Mainland China

Hong Kong's economic integration with Mainland China is one of the crucial financial resources. Being an international financial center and having close links with Mainland China,

Hong Kong has been the dominant gateway to Mainland China and the global hub for offshore renminbi business.

B) GOVERNMENT POLICIES AND REGULATIONS

1. Financial Services and the Treasury Bureau (FSTB)

Financial Services and the Treasury Bureau, established on 1 July 2002, is a policy bureau of the HKSAR Administration that reports to the government through the Chief Secretary for Administration and the Financial Secretary. The bureau is responsible for formulating and implementing policies related to financial services, monetary affairs, and the treasury. A Financial Services Branch and a Treasury Branch are further created to effectively execute its policies.

The Financial Services Branch focuses on the development and regulation of financial services in the region, formulating policies related to banking, securities, insurance, and other financial sectors while the Treasury Branch oversees the government's fiscal resources, public finance, taxation, and revenue collection (Financial Services and the Treasury Bureau, 2021).

The FSTB also oversees other key financial regulatory bodies: (1) Hong Kong Monetary Authority, (2) Insurance Authority, (3) Securities and Futures Commission, and (4) Mandatory Provident Fund Schemes Authority.

2. Hong Kong Monetary Authority (HKMA)

The Hong Kong Monetary Authority, established on 1 April 1993 by merging the Office of Exchange Fund with the Office of the Commissioner of Banking, is Hong Kong's central banking institution. Its powers and functions are governed by the Exchange Fund Ordinance and the Banking Ordinance (Hong Kong Monetary Authority, n.d.). HKMA oversees the Deposit Protection Scheme Ordinance, the Payment Systems and Stored Value Facilities Ordinance, and other relevant Ordinances. For example, according to the Banking Ordinance, HKAM regulates the three-tier banking system comprising of licensed banks, restricted banks, and deposit-taking companies (Hong Kong Monetary Authority, 2025).

One of the most prominent functions is maintaining currency stability within the framework of the Linked Exchange Rate System (LERS), where HKD is linked to USD in terms of currency exchange rate. According to HKMA, the currency board system, its current monetary regime for maintaining currency stability, is different from other forms of pegged exchange rate

systems. The currency board system holds reserves of the foreign currency equivalent of 100% of the domestic currency in circulation whereby a pegged exchange rate system prompts central banks to buy or sell its currency in the market to stabilize its exchange rate. Consequentially, a currency board system is rigid and strictly ties the domestic currency to a foreign currency, thus perceiving a sense of credibility when it comes to exchange rates.

3. Securities and Futures Commission (SFC)

The Securities and Futures Commission is an independent statutory body, set up in 1989, to regulate and authorize publicly offered investment products and their offering documents. It also oversees intermediaries i.e. brokers, fund houses, and investment advisers as well as directly exercises oversight of regulations governing takeovers and mergers of publicly listed companies and of The Stock Exchange of Hong Kong Limited's regulation of listing matters (Securities and Futures Commission, n.d.).

Its powers are derived from the Securities and Futures Ordinance and a subsidiary legislation, and it is the only financial regulator given the mandate to educate the investing public. Following the enactment of the Securities and Futures (Amendment) Ordinance 2012, an SFC subsidiary, now known as the Investor and Financial Education Council, was formed to educate the public on a broad range of retail financial products and services.

As part of its 3-years Strategic Plan, SFC aims to embrace technological innovation such as virtual asset activities, and tokenization of traditional assets. In addition, it also focuses on its target status as a sustainable financial hub, one of the goals being the ability to bridge Mainland carbon markets with international investors (Securities and Futures Commission, n.d.).

4. Insurance Authority (IA)

The independent Insurance Authority (IA) was established under the Insurance Companies (Amendment) Ordinance 2015, taking over the regulatory functions of the then Office of the Commissioner of Insurance, which was a government department. Later in 2019, the IA took over the regulation from the three Self-Regulatory Organizations known as ("SROs") (Hong Kong Insurance Authority, n.d.).

Empowered by the Insurance Ordinance, the Insurance Authority regulates insurance intermediaries including agents and brokers while ensuring the competitiveness of the insurance market. The IA protects the interests of policyholders and promotes the general stability of the industry.

The IA has set up its Future Task Force comprising 3 working groups: FinTech, Financial regulation, and Policy and Image Building as its commitment to sustainable development of the insurance industry in the future (Insurance Authority, n.d.).

5. Mandatory Provident Fund Schemes Authority (MPFA)

Set up in 1989 under the Mandatory Provident Fund Schemes Ordinance as a statutory body, the MPFA assists Hong Kong's workforce with their retirement financial goals by educating retirement savings as well as regulates privately managed provident schemes. Additionally, it also registers MPF intermediaries regulated by the HKMA, IA, and SFC (Mandatory Provident Fund Schemes Authority, n.d.).

6. Safeguards

It is vital that a financial system can guarantee or at least minimize investors' losses during an absolute failure of a financial intermediary. Hong Kong, by no exception, is aware of such expectations from investors and set up its mechanisms, compensation & resolution, to strengthen investors' confidence in its robustness as a financial center.

Compensation Schemes

Deposit Protection Scheme: The Deposit Protection Scheme protects depositors, both individual and corporate if a bank fails. The Scheme promises HKD 800,000 per depositor if they deposit in the Hong Kong office of a scheme member, regardless of the currency deposited (Deposit Protection Scheme, n.d.).

Investor Compensation Fund (ICF): The compensation policy for retail investors in Hong Kong, in the event of a default by a licensed or registered intermediary or an authorized financial institution, is managed by the Investor Compensation Fund (ICF). This fund is established to cover the losses of retail investors trading on the Stock Exchange of Hong Kong and the Hong Kong Futures Exchange. The maximum compensation per investor for a single default is currently set at HKD 500,000 (Securities and Futures Commission, n.d.).

Compensation Fund (by MPFA): The Compensation Fund offers reimbursement to MPF scheme members for any losses in accumulated benefits caused by misconduct or illegal activities by MPF trustees and other individuals responsible for managing the schemes (Mandatory Provident Fund Schemes Authority, n.d.).

Legal Infrastructure for Financial Disputes

The Financial Dispute Resolution Centre provides financial consumers with an independent, affordable, and transparent platform for mediation and arbitration to resolve financial disputes with institutions authorized by the HKMA or licensed/registered with the SFC (Financial Dispute Resolution Centre, n.d.).

The Insurance Complaints Bureau (ICB) offers a complimentary service for the public to address complaints about insurance claims related to personal insurance policies with a total claim amount not exceeding HKD1,000,000. Furthermore, the ICB provides mediation services for non-claim-related disputes (Insurance Complaints Bureau, n.d.).

C) INFRASTRUCTURE

The Hong Kong Stock Exchange (HKEX) infrastructure comprises various components.

1. Trading

Hong Kong Futures Automated Trading System (HKATS) is the electronic trading system for the HKEX derivatives market. HKATS' trading system is based on transactions and can be conducted through OMnet Application Programme Interface (OAPI) and/or HKATS Online, a browser-based frontend application. Participants can access HKATS directly through an application programming interface (API) or HKATS Online

2. Clearing

Listed Derivatives

The infrastructure is composed of Derivatives Clearing and Settlement System (DCASS) and Common Collateral Management System (CCMS). DCASS serves as a single clearing, settlement and risk management system. DCASS is a fully electronic and automated system that can support various types of derivatives products such as equities, foreign exchange, interest rate and commodities. DCASS is able to process clearing transaction in real time and provide access to clear data in purpose of the risk management functions

CCMS is used to manage the collateral holdings and obligations of Clearing Participants (CPs) of HKCC and SEOCH. CCMS serves both Securities and Listed Derivatives markets by accepting a wide range of collateral types and providing a variety of collateral management services.

Securities

HKEX post-trade (securities) infrastructure is composed of the Central Clearing And Settlement System (CCASS/3) and VaR Platform. CCASS/3 is built on an open, robust, secure and flexible modularised architecture with services that meet the business needs of the market. CCASS/3 also has a message-based application programming interface that provides interactive communications with the market participants. Users can access this system through 2 channels, CCASS/3 Terminal (C3T) or Participant Gateway (PG). VaR Platform is a risk engine for risk monitoring & calculation for Hong Kong securities market, Shanghai-Hong Kong Stock Connect (Shanghai Connect) and Shenzhen-Hong Kong Stock Connect (Shenzhen Connect) markets. VaR Platform also offers tools for Clearing Participants (CPs) to conduct their own risk monitoring with Report Access Platform (RAP), a centralized report platform, and Var Online.

3. Data and Index Services

HKEX Orion Market Data Platform (OMD) is an integrated low-latency platform delivering market data for all assets traded on HKEX markets in a common message format. OMD provides a suite of market data product feeds with content, market depth, and bandwidth requirements tailored to suit the needs of different types of clients while delivering vital pricing data to subscribers rapidly and efficiently. OMD also enables HKEX to establish points of presence for market data distribution outside of Hong Kong, such as on Mainland China.

D) COMPETITIVE ADVANTAGES

1. Banking Industry

- **International presence**

Hong Kong is an international hub for banks, hosting over 70 out of the world's top banks, such as HSBC, Bank of China, Standard Chartered, as well as global investment banks like Goldman Sachs and J.P. Morgan. The presence of these banks allows for three competitive advantages. First, banks leverage Hong Kong as a regional headquarter to provide service to Asia-Pacific markets, connecting clients to cross-border financing, trade, and wealth management. Next, its various range of banks provides diverse services, starting from corporate banking to private wealth solutions to cater to multinational corporations, SMEs and high net worth clients. The density of global banks enhances liquidity, fosters innovation (e.g., fintech collaborations), and solidifies Hong Kong's role as a neutral platform for East-West capital flows.

- **A connector between China and the world**

As the world's largest offshore RMB hub, Hong Kong handles around 75% of global RMB settlements. Its unique position bridges China's financial system with global markets. Here are some examples:

- **RMB Infrastructure:** Hong Kong hosts the RMB Real Time Gross Settlement (RTGS) system, which processes a humongous amount of transactions annually. It supports RMB-denominated bonds ("dim sum bonds"), trade financing, and cross-border investment.
- **Connectivity Programs:** Initiatives like Stock Connect and Bond Connect allow international investors to access mainland China's markets through Hong Kong, while Chinese firms raise foreign capital via IPOs.
- **Risk Management:** Banks in Hong Kong offer hedging tools (e.g., currency swaps) to mitigate RMB volatility, critical for multinationals operating in China.

Some solid examples are Tencent and Alibaba. Those companies use Hong Kong banks to manage offshore capital, while foreign firms rely on the city to navigate China's regulatory landscape.

- **Regulatory Stability**

Hong Kong has a well-regulated system, which is Hong Kong Monetary Authority (HKMA), with a USD-linked currency to ensure monetary stability. Since 1983, USD-HKD Linked Exchange Rate has been providing monetary stability and shielding Hong Kong's economy from currency shocks. The HKD has been pegged to the USD (7.75–7.85 band). This peg is backed by a massive foreign reserve (USD 423.5 billion as of 2023). Additionally, Hong Kong has an Anti-Money Laundering (AML) framework which aligns with FATF guidelines to reinforce trust in this sector. As a result, HKMA's credibility attracts foreign banks and depositors, even during geopolitical tensions. For example, during the 2008 global crisis and 2020 pandemic, Hong Kong's banking system remained solvent, with no major bank failures. This proves that Hong Kong is resilient to crises.

- **Tax System**

Hong Kong has a simple and low tax system that is appealing to the banking industry. First, Hong Kong has a two-tiered profit tax system that ensures affordability for both small companies and large corporations. Small businesses, fintech startups, and regional branches pay only 8.25% on the first HK\$2 million of profits, giving more capital to spend on innovation and expansion. On the other hand, larger corporations benefit from a competitive rate at 16.5% on profits beyond that threshold, this rate is lower than Singapore (17%) and United Kingdom

(25%). Not only that, but with the absence of GST/VAT, which eliminates hidden costs on financial services such as transaction fees and advisory work. Additionally, banks get tax-free interest income, making Hong Kong a hub for loans and international debt financing, while treasury operations profit from untaxed interest on deposits and bonds. Also, the lack of capital gains tax encourages banks to take risks and keep markets active. Trading teams get to keep all profits from stocks or currency trades, and selling assets is tax-free unless it's seen as regular trading. These rules help banks save money, earn more profit, and keep Hong Kong as Asia's top banking center.

In conclusion, these four competitive advantages work well together. Global banks cluster in Hong Kong due to its China access and stability. Their presence deepens liquidity and expertise, attracting more firms and investors. The low tax system further appeals to potential customers. And lastly, regulatory safeguards ensure long-term trust, sustaining growth even amid regional competition such as Singapore and Shanghai.

2. Equity Market

Following from the previous three competitive advantages, those also directly influence the equity market of Hong Kong.

- **Primary Market**

The Hong Kong Stock Exchange (HKEX) consistently ranks among the top global IPO venues. As discussed before, Hong Kong acts as the 'gateway' to China, which provides significant influence to HKEX. In 2019, HKEX raised HKD 314 billion (USD 40 billion), driven by Alibaba's landmark USD 13 billion secondary listing, the world's largest that year. Also, over 50% of HKEX's market capitalization comes from mainland Chinese companies (e.g., Tencent, Meituan, Xiaomi). These firms use Hong Kong to access international investors while complying with China's regulatory requirements. This is important because of two reasons, geopolitical hedge and diversification. First, amid U.S.-China tensions (e.g., delisting fears on NYSE), Chinese firms increasingly choose Hong Kong for "homecoming" secondary listings. Secondly, the primary market now spans tech, healthcare, and consumer sectors, reducing reliance on traditional industries like property and finance. Additionally, Hong Kong's tax system is designed to reduce the tax burden on small and medium size companies while still maintaining competitive rates for larger corporations, as discussed previously in the banking industry part.

- **Secondary Market**

The second market has high liquidity, with an average daily turnover of around HKD 150B (2022). This is driven by retail participation and institutional investors.

- Retail Participation: Over 2.5 million retail trading accounts (2023), fueled by low brokerage fees and digital platforms.
- Institutional Investors: Global funds (e.g., BlackRock, Fidelity) and sovereign wealth funds (e.g., GIC, Temasek) trade actively. Additionally, there is a Stock Connect Program which was launched in 2014. This program links HKEX with Shanghai and Shenzhen, enabling cross-border investment into mainland China.
- No Capital Gains Tax: Active traders and funds pay no tax on stock trading profits, which boosts participation and liquidity. Also, no withholding tax on equity attracts global capital to Hong Kong's stock market
- Dividend Exemption: Tax-free dividends make Hong Kong listed stocks very appealing for income-focused investors.
- No GST/VAT: Since there is no GST/VAT on brokerage fees or trading platforms, it reduces costs for investors and brokers.

3. Debt Market

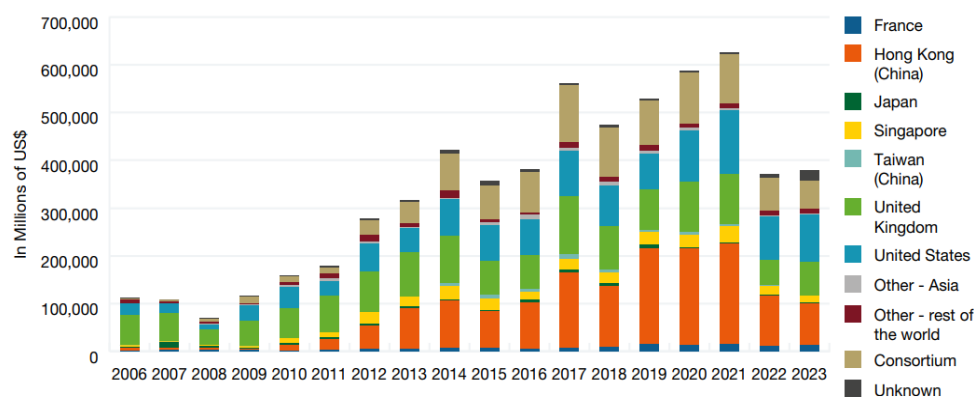
- **Primary Market**

The Hong Kong bond market has experienced substantial growth over the years, particularly in 2023, when new issuances of HKD debt securities increased by 4.9% compared to the previous year, reaching HK\$948.5 billion (approximately US\$121.4 billion) (Hong Kong Monetary Authority, 2025). This market encompasses important segments such as HKD, offshore renminbi (CNH), and G3 international securities. However, G3 bond issuances saw a significant decline of 41% due to increases in external interest rates. Additionally, the green and sustainable finance sector has made notable strides, with US\$29.9 billion in green bonds issued, which accounts for over a third of the total market in Asia (Hong Kong Monetary Authority, 2025).

Since 2010, banks in Hong Kong have secured an increasing share of international bond issuance from Asian jurisdictions. Banks located in Hong Kong, equipped with experience navigating through practices on international bond issuance and the ability to distribute to global investor bases, are normally perceived to be enjoying closer banking relationships with Chinese issuers. Over the last decade, Hong Kong has consistently ranked as the number one location for arranging international bond issuance from Asian issuers⁸, except in 2023 where

Hong Kong (with 23%) arranged slightly less issuance than the U.S. (with 26%), primarily due to a decline in Chinese international issuance (International Capital Market Association, 2024).

Figure 3: International Bond Issuance in Asia (Deal Nationality) - By Main Location of Arrangement

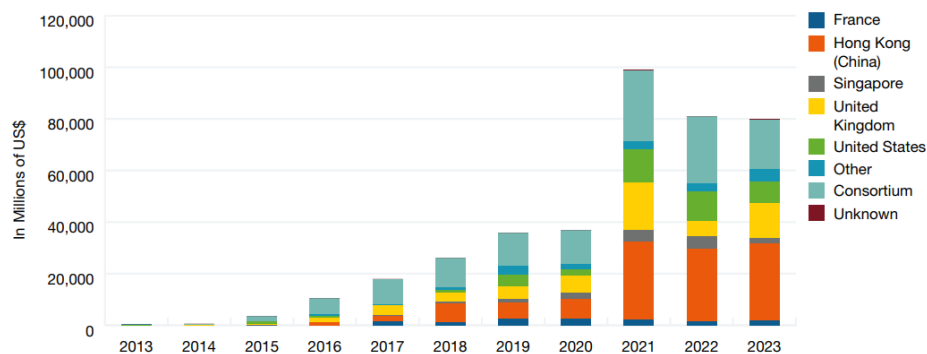


Source: ICMA analysis using Dealogic data (January 2024)

Source: (International Capital Market Association, 2024)

Green, social and sustainability, and sustainability-linked bonds (collectively known as “sustainable bonds” or “GSSS bonds”) are increasingly part of the Asia international bond market landscape and have experienced exponential growth in recent years. Issuance volume from Hong Kong in 2023 doubled year-over-year to about US\$16 billion (International Capital Market Association, 2024). Over half of international bond issuance by Hong Kong issuers was sustainable issuance, which echoed a higher preference of issuers from those jurisdictions for issuing sustainable bonds over conventional bonds in the international bond market.

Figure 25: International Sustainable Bond Issuance in Asia (Deal Nationality) – by Main Location of Arrangement



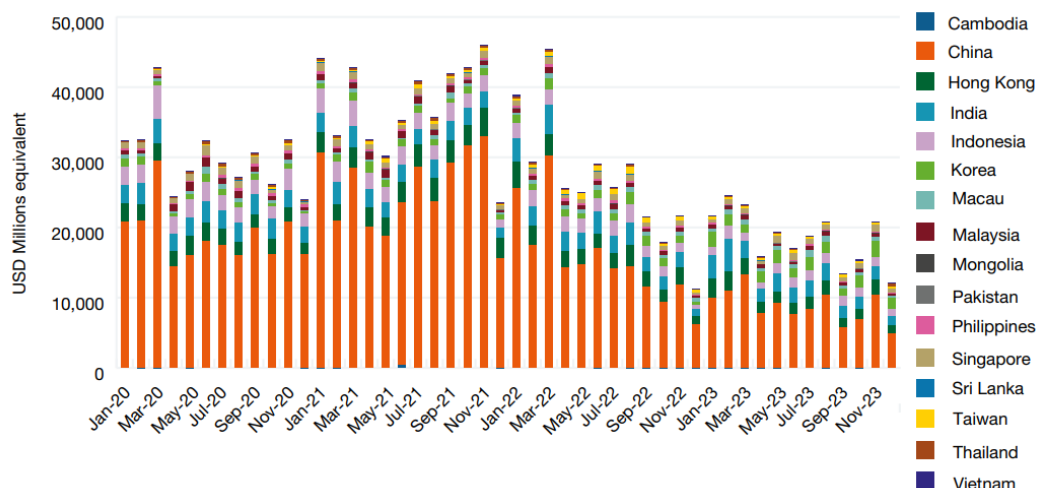
Source: ICMA analysis using Dealogic data (January 2024)

Source: International Capital Market Association, 2024

- **Secondary Market**

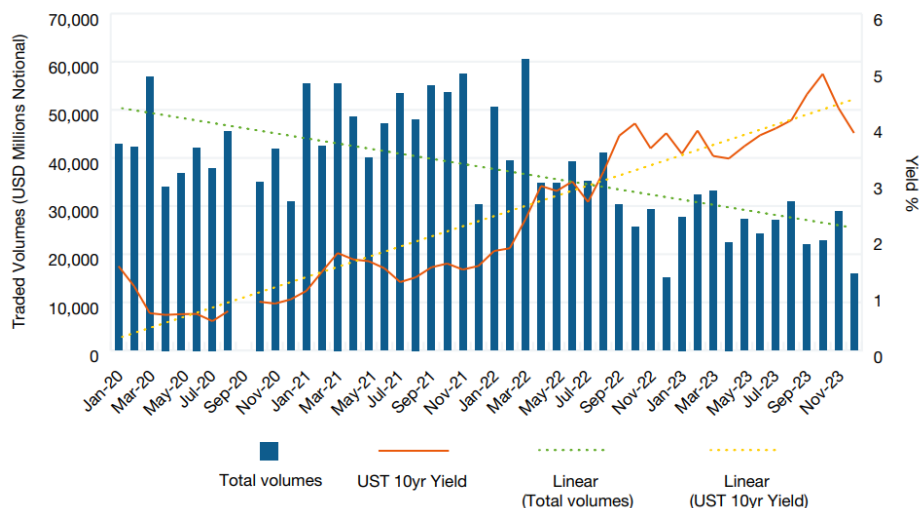
In line with the primary market, secondary market activity and volume have seen a steady increase in activity from 2020 to mid-2022 but have been in decline since, particularly concerning non-financial issuers. This can be seen in the data, in terms of trade volume. This can be attributed to changing market conditions, with higher yields of 10-year UST notes as they are negatively correlated with trade volume (International Capital Market Association, 2024).

Figure 30: Asia International Credit (NFCs) Secondary Market Traded Volume by Country of Ultimate Risk



Source: International Capital Market Association, 2024

Figure 35: Traded Volumes vs UST Yields



Source: International Capital Market Association, 2024

- **Initiatives for Bond Market**

Exchange Fund Bills and Notes Programme

Exchange Fund Bills and Notes (EFBNs) are debt instruments issued in Hong Kong dollars by the Hong Kong Monetary Authority (HKMA). These instruments are direct, unconditional, and unsecured liabilities of the Hong Kong Special Administrative Region Government, representing obligations on behalf of the Exchange Fund and holding equal status to other forms of unsecured government debt (Hong Kong Monetary Authority, 2025).

EvergreenHub: Investigating Bond Tokenization

In 2021, the Hong Kong Monetary Authority (HKMA) launched Project Evergreen to explore, demonstrate, and promote the application of tokenization technology in capital markets. This initiative originated from Project Genesis, a collaboration with the Bank for International Settlements Innovation Hub, which focused on testing the issuance of tokenized green bonds in Hong Kong. Building on the findings from Project Genesis, the project has progressed past the theoretical phase, completing two real-money tokenized green bond issuances for the Hong Kong Special Administrative Region Government since 2023 (Hong Kong Monetary Authority, 2025).

Green and Sustainable Finance Grant Scheme

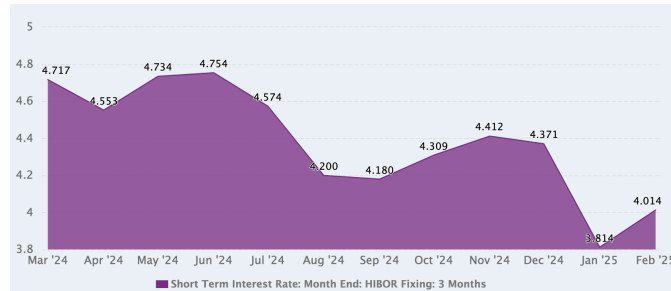
Launched in May 2021, the Green and Sustainable Finance Grant Scheme (GSF Grant Scheme) provides financial support for costs associated with qualifying issuances of green and sustainable bonds and loans in Hong Kong (Hong Kong Monetary Authority, 2025).

In the 2024-25 Budget, the Financial Secretary announced a proposal to extend the GSF Grant Scheme for an additional three years, until 2027. This extension will also widen the range of subsidies to encompass transition bonds and loans. The goal of this initiative is to encourage local industries to engage with Hong Kong's transition financing platform as they strive for decarbonization. The administration of the GSF Grant Scheme will continue to be managed by the Hong Kong Monetary Authority (HKMA).

4. Money Market

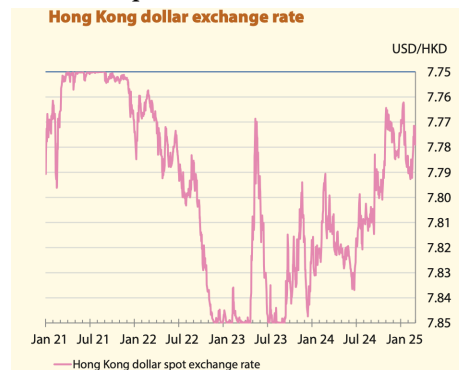
The money market in Hong Kong plays a crucial role in its financial system, providing short-term borrowing and lending funds. The market is known for its liquidity, which has attracted both local and international participants. According to the Hong Kong Monetary Authority, the interbank rates remain competitive, whereas as of February 2025, the 3-months HIBOR

stood at 4.01%. This reflects a tight liquidity market but also still competitive compared to global peers.



Source: ceicdata | HKMA

In addition, the HKD exchange rate remained stable against USD, with a range of 7.762 and 7.810 during the review period. This stability reduces exchange rate risks for investors, making Hong Kong an attractive destination for short-term investments. Recent development shows that the stability of Hong Kong monetary market has led to increased foreign investments, with the foreign investment contributing to Hong Kong's economy around HK\$67.7 billion in 2024, which is a nearly 10% increase compared to 2023.



Source: HKMA

5. Derivatives Market

One major strength the derivatives market has compared to other markets is their development of an in-house derivatives platform to offer 24 hours trading and open themselves up to trading many more new securities. This plays well into their strengths of being an offshore remimbi hub to bridge the mainland investors with other investors across the world. By continuing to digitalise this platform paired with their other technological advancements this positions the Hong Kong derivatives market to be at the top in the years to come. By having high liquidity derivative securities available to invest in, this is another revenue driver for the HKEX market, thus giving more room to expand to become Asia's financial hub. Hong Kong's volumes in

derivative transactions have been increasing year over year for the past 2 years. “Derivatives are one of the fastest-growing segments of HKEX's diverse business, achieving record-breaking volumes in both 2023 and 2022” (Hong Kong Exchanges and Clearing Limited, 2024). Investors are heavily engaged with the derivative securities in Hong Kong as they have the ability to trade indexes, small stocks, commodities, foreign exchange and interest rate as well.

The main reason why the Hong Kong derivatives market is so strong is because it is the primary place for global investors to trade derivatives upon the RMB. With Hong Kong being a central place for this outside of mainland China, this helps to internationalize the RMB and allow many countries to gain exposure to this.

In regards to the RMB and gold contracts, Hong Kong's financial markets currently sell yuan-denominated gold contracts. While USD-denominated gold contracts are heavily traded in Hong Kong, they could instead use their ties with mainland China to promote these RMB-gold contracts. This could help expose the RMB currency and Hong Kong can offer cheaper gold storage at the HKIA Precious Metals Depository as they are expanding to store 1,000 tonnes of gold, according to analysts (Hong Kong Business, 2024).

6. Mortgage Market

Hong Kong's mortgage market plays a central role in the city's broad financial framework, which is heavily linked with the high-value property sector. Despite the recent downturn of housing prices in previous years, Hong Kong's mortgage market has remained resilient due to its robust financial infrastructure and government-backed mortgage policies (Hong Kong Mortgage Corporation, 2024). As of 2025, Hong Kong mortgage loans are estimated to be approximately HK \$1.8 trillion, with the majority of its lenders being banks such as HSBC, Standard Chartered, and Hang Seng Bank (Hong Kong Monetary Authority, 2025). Additionally, the home ownership rate of Hong Kong is just around 50%, which is considerably low compared to other countries such as the United States, who have a home ownership rate of 65.7%.

Hong Kong's mortgage market has been significantly shaped by interest rate changes over the past few years, as most of Hong Kong's residential mortgages are linked to the Hong Kong Interbank Offered Rate (HIBOR). The HIBOR is a benchmark interest rate for lending between banks in the Hong Kong market. During the years of 2022 and 2023, global interest rates hiked substantially, leading to a substantial increase in mortgage rates across the world due to the high risks of volatility. In early 2022, the HIBOR rates were only 0.21%. Fast forward a few years later, the HIBOR was up to around 4.5-5% during 2023 and 2024 (Hang Seng Bank,

2025). However, as the United States Federal Reserve has begun to show signs of cutting rates in 2025, the HIBOR is also expected to show signs of stabilized rates this year, with interest rates having been gradually declining by 50-100 bps in 2025. Despite exposing borrowers to high levels of interest rate volatility, the HIBOR-linked mortgage has been deemed to be the most popular mortgage among the population due to its lower initial costs compared to prime-based options.

Since the mortgage market peak of 2019, residential property prices have decreased by approximately 15-20% percent in these past few years. The decline in property prices are the result of various factors, such as the involvement of the COVID-19 pandemic, which resulted in global economic turmoil, rising interest rates from 2022 to 2023, and a reduced flow of capital from Mainland China (Hong Kong Economic Journal, 2023). Despite these factors having a role in making housing more affordable to the population, the median home prices which currently average around HK \$8 million to HK \$10 million, still represent 14 times more than the median household income (Census and Statistics Department, 2024), indicating that the Hong Kong housing market is still deemed to be overly expensive for the average population.

Due to these shifts in the market, the Hong Kong government has implemented certain policies to support the lending of mortgages. The Mortgage Insurance Program (MIP), which was administered by the Hong Kong Mortgage Corporation (HKMC), was expanded to cover properties valued up to HK \$10 million, allowing eligible first-time buyers to borrow up to 90% of a property's value (Hong Kong Mortgage Corporation, 2024). The MIP policy has expanded the eligibility of buyers who were previously not able to buy mortgages, therefore boosting the accessibility of mortgages in Hong Kong.

Despite these proactive steps by the Hong Kong government, the regulatory policies of Hong Kong's mortgage market continue to be very strict. The Hong Kong Monetary Authority (HKMA) maintains a series of macroprudential policies that are designed to ensure the stability of Hong Kong's financial systems. These policies require borrowers to undergo stress testing to ensure they can withstand interest rates increasing by up to 300 bps, as well as limits on debt servicing ratios. While these policies have been considered conservative, these measures have proven to be effective in preventing excessive risk-taking and keeping default rates low during periods of economic stress. In late 2023, the Hong Kong government have also removed several stamp duties, which include the Buyer's Stamp Duty (BSD) and the New Residential Stamp Duty (NRSD). These policies have particularly benefited and encouraged local purchases, signaling a pro-market stance from the administration. Additionally, long-term housing supply

has still remained a key government priority, with projects such as the Northern Metropolis and the Lantau Tomorrow Vision aiming to ease the housing shortage in Hong Kong (Development Bureau, 2024).

Despite several policies created by the government, there are still signs of risk for the Hong Kong housing market. Due to Mainland China's geopolitical tensions, economic slowdown, and uncertain trade war policies, the Hong Kong housing market could be influenced astronomically due to these uncertainties. For instance, the trade war between the United States and Mainland China, which resulted in a high increase of tariffs between the two countries, could dampen the sentiment of buyers who want to purchase properties in Hong Kong (Reuters, 2024). Moreover, while interest rates are expected to decrease based on their current downward trajectory, unexpected risks of inflation in the current global market could result in high levels of volatility, impacting the Hong Kong housing market. While Hong Kong's housing market is still deemed to be fairly optimistic in the future due to a stabilization in interest rates and supportive government policies, risks such as trade wars and political uncertainties are still bound to exist.

7. Asset Management

Hong Kong's overall asset management market trend is on the rise. Its assets under management (AUM) have increased over five times from 2008 to 2023 (*HKTDC Research*, 2025), which shows a drastic improvement from the 2008 financial crisis. A survey done by the Securities & Futures Commission of Hong Kong is an objective report on Hong Kong, and the recent report shows its AUM rose by 2% year on year in 2023, recovering from a decline in 2022 (*HKTDC Research*, 2025). Looking at this data, it is clear that Hong Kong is remaining vigilant about increasing its presence in the asset management industry and ensuring that its private banking and wealth management businesses are staying stable. Another interesting thing about Hong Kong's asset management industry is that most of the capital is sourced from non-resident entities, meaning the local market was mostly managing and bookkeeping (*HKTDC Research*, 2025). This shows the power of Hong Kong as a global financial center because of its scale to the rest of the world.

To further show how Hong Kong has succeeded on the global scale, the total AUM surpassed 31 trillion HKD in 2023 (Dimsum Daily, 2024), solidifying global confidence in Hong Kong's financial markets. One more integral part of the market is the amount of assets held under trusts. These assets totaled \$5,188 billion at the start of 2024, up 4% from a year prior (Asset and Wealth

Management Activities Survey, 2024). To conclude, Hong Kong's asset management market is a significant pillar of its status as a global financial hub. It also serves as a great communicator for overseas investors to access Mainland China, further showing its importance to the rest of the world.

E) SWOT ANALYSIS

1. Strengths

Strategic Location

Hong Kong serves as a bridge between the East and the West, mainly connecting the gateway between Mainland China and the United States. According to research done by the HKTDC (Hong Kong Trade Development Council), Hong Kong has a renowned reputation for having strong business connections with companies within the GBA region who want to expand into overseas markets. On the other hand, Hong Kong also has strong business connections with overseas companies that intend to enter the Chinese market.

For instance, the Pearl River Delta (PRD) is China's largest and most productive manufacturing region, home to tens of thousands of factories owned by both Hong Kong and overseas companies. Along the Pearl River Delta, there exists a region containing Hong Kong, Macau, and nine other regions in Mainland China. This region is called the Greater Bay Area (GBA). With a combined GDP of USD 1.9 billion and a total population of over 86 million, the GBA serves as a gateway for business people to commute regularly and easily between the two regions (HKMA, 2024)

Connectivity with Mainland China

According to PwC, China is currently the world's second-largest economy and is expected to represent 20% of the world's economy by 2030. With Hong Kong's strength as a financial center, Hong Kong has been the dominant gateway to Mainland China and the global hub for offshore renminbi business, offering a wide range of RMB Financial Services. Additionally, Hong Kong originates and intermediates two-thirds of China's inward foreign direct investment (FDI) and outward direct investment (ODI).

Hong Kong also provides seamless access for international investors to Mainland China's markets via multiple connectivity programs, such as the Qualified Foreign Institutional Investor (QFII), Renminbi Qualified Foreign Institutional Investor (RQFII), Mutual Recognition of Funds, Stock Connect (Shanghai-Hong Kong and Shenzhen-Hong Kong), Bond Connect (Northbound and Southbound), Cross-boundary Wealth Management Connect, and Swap

Connect. As Hong Kong serves as the largest global offshore renminbi (RMB) business hub, the city has the world's deepest RMB liquidity pool outside Mainland China, around RMB1 trillion (HKMA, 2024). Additionally, over 70% of the world's offshore RMB payments are processed by Hong Kong consistently, indicating its importance as an RMB hub.

World-class Financial Infrastructure

Hong Kong provides an all-encompassing and high-quality financial platform for investors, financiers, asset managers, funds and financial institutions alike from all over the world. To enhance its competitiveness in the financial sector, the Hong Kong Monetary Authority (HKMA) has also established a Market Outreach division that aims to engage with market stakeholders and help them take advantage of the growth opportunities in Mainland China financial markets, green and sustainable finance, and fintech through Hong Kong's world-class financial platform.

First and foremost, the Hong Kong banking system has played a significant role in the growth of the Hong Kong economy. According to the Hong Kong Monetary Authority (HKMA), Hong Kong's assets in the banking industry have increased from \$854 billion in 2000 to \$3,498 billion by 2023.

Hong Kong is among the world's largest equity fundraising centers and a major hub for arranging Asian international bond issuance. The city's highly liberal, liquid, and deep securities market has attracted many international banks and securities houses to build their presence and provide a critical channel for companies to raise funds in the form of equity and debt. For example, the market capitalization of Hong Kong has increased from \$624 billion in 2000, and up to \$3979 billion in 2023. Additionally, Hong Kong also issues 23% of bonds in Asia, just 3% behind the United States (HKMA, 2024). Lastly, Hong Kong also plays a leading role in the regional fund management industry, as it is currently the largest cross-border private wealth management and hedge fund center in Asia and the second largest private equity center after Mainland China in Asia. According to research done by HKMA, Hong Kong's assets under management have increased from \$190 billion in 2000, and up to \$3,993 billion in 2023. In addition, Hong Kong is also the second largest Private Equity center with a capital of \$221 billion, just behind Mainland China.

Strong Market Environment

Hong Kong has a reputation as one of the world's most open and competitive economies due to its free market policy, and minimal government intervention. Hong Kong operates under a

free-market system which is characterized by its minimal government intervention and low taxation, having the ability and potential to attract investors worldwide. The Hong Kong government's low intervention allow businesses to have the flexibility to react quickly to global market conditions, and allocate resources efficiently.

In addition, Hong Kong's financial stability is also due to its currency being pegged to the US Dollar, which limits its risk to volatility. First introduced in 1983 through the Linked Exchange Rate system, the Hong Kong Dollar being pegged to the US Dollar has provided high degree of monetary and exchange rate stability, particularly in times of global economic uncertainty. By eliminating the risk of volatility, this system makes Hong Kong as a attractive destination for investors who seek predictable capital flows and returns. Furthermore, the absence of capital controls in Hong Kong's financial system allows for the free flow of capital funds into and out of the territory. The absence of capital controls allows a liquid financial market, making it an attractive destination for global investors to invest in a broad range of equities, bonds, real estate, etc.

Hong Kong's tax system is also among one of the world's most competitive tax regimes. With the city's low corporate tax at 16.5%, and no value-added tax (VAT), capital gains tax, or withholding tax on dividends and interest, Hong Kong offers a highly efficient financial environment for both businesses and investors.

2. Weaknesses

High Cost of Living

Despite Hong Kong's strong reputation as a financial industry, Hong Kong has also established itself as one of the most expensive cities in the world. According to research conducted by Numbeo, Hong Kong is currently ranked as the third most expensive city to live in Asia, just below Singapore and Tel-Aviv. In addition, Hong Kong also holds the number one spot for the country with the most expensive property prices worldwide with an average of £1.3 million or approximately HK \$12 million.

Hong Kong's high property prices and operating costs have been indicated as a major weakness for the future of Hong Kong's economy, deterring businesses and talent away from the city. The affordability of housing in Hong Kong has remained as one of the most pressing social and economic issues which has contributed to a widening of the wealth gap and the declining quality of life of Hong Kong's middle class and lower class. For businesses alike, the costs of renting

commercial spaces or office spaces, particularly in areas such as Central, Wan Chai, Admiralty or Causeway Bay, have been deemed to be overly expensive. This issue has the potential to stir businesses away from Hong Kong, and at the same time, reduce entrepreneurship and deter new entrants away from Hong Kong. Moreover, the extreme high cost of living in Hong Kong has the potential to stir new talents and skilled professionals away from Hong Kong. As a result, the younger generation have begun to explore new opportunities away from Hong Kong into countries such as Singapore, or Mainland China.

Limited Land and Space

Another weakness of Hong Kong is its extremely limited land and physical space. As a region with land area of just over 1100 square kilometers, Hong Kong's mountainous terrain and dense urban development make it challenging to find suitable land to start new projects that require a significant amount of land. Hong Kong's limited geographical capacity places immense pressure on the usage of land and urban planning, creating significant bottlenecks in the expansion of infrastructure, and housing development.

As the demand for land continues to outstrip supply, the prices still remain elevated reinforcing the cycle of housing unaffordability in Hong Kong's housing market. Moreover, the lack of space that Hong Kong currently has also resulted in vertical urban development, which has led to highly compact living conditions, especially for the low and middle-class population. As a result, the lack of space in Hong Kong has hindered long-term growth and reduced the quality of life for Hong Kong residents.

Substantial Exposure to Mainland China

As Hong Kong is currently the largest source of overseas direct investment for mainland China and also acts as a gateway between China and the United States, this could result in an over-reliance between Hong Kong and Mainland China.

According to the Statistical Bulletin of FDI (Foreign Direct Investment), the cumulative utilized capital inflow from Hong Kong at the end of 2023 amounted to US\$1,681.5 billion, accounting for 59.2% of the national total. In addition, the cumulative foreign direct investment coming to Hong Kong amounted to US\$1,752.5 billion, or 59.3% of the total outflow of FDI. As a result, Mainland China's share of Hong Kong's global trade has jumped significantly to 51.0% in 2024 from 9.3% in 1978.

Despite China contributing to huge amounts of economic and growth opportunities. Hong Kong's reliance on China makes the city vulnerable to several factors

- Sudden Policy Changes: Changes in China’s economic policies, such as stricter capital controls or tighter trade regulations, could disrupt Hong Kong’s role as a financial hub
- Geopolitical tension: A trade war between the US and China could substantially affect Hong Kong’s economic growth and role as a bridge between the two countries. For instance, the new tariff regulations could impact reduced trade volumes and create uncertainty for businesses operating in the city.

3. Opportunity

Expansion and Development of FinTech

Hong Kong has an esteemed position for being a top global Financial Hub and also having one of the richest ecosystems for public and private companies to invest and accelerate FinTech companies. One of Hong Kong’s unique features is its rich and diverse FinTech industry which operates in sectors such as virtual banking, asset management, blockchain, etc. Being one of the richest ecosystems for FinTech companies to grow, Hong Kong also has two esteemed business and technological parks called Cyberport and HKSTP (Hong Kong Science and Technology Park), which are home to approximately 400 FinTech companies and 2000 IT companies.

The Hong Kong SFC (Securities and Futures Trading Commission) has also outlined 12 major initiatives to enhance the security, innovation, and growth of Hong Kong’s virtual asset (VA) market under a five-pillar “ASPIRe” roadmap (Access, Safeguards, Products, Infrastructure, and Relationships). The Hong Kong SFC has also recently licensed several virtual trading platforms such as the OSL Exchange, HashKey Exchange, HKVAX, HKbitEX, Accumulus, DFX Labs, EX.IO, PantherTrade, YAX, and Bullish. In addition, the HKMA also launched a platform called the Fintech Connect, which helps bridge financial institutions with fintech solution providers, enhance greater collaboration in the Greater Bay Area, and promote mutual growth in the FinTech ecosystem.

At the beginning of 2024, the HKMA introduced the Stablecoin issuer sandbox which allowed institutions to issue stablecoins in Hong Kong. Later in 2024, the HKMA introduced two new projects to the FinTech industry. The first project, Project Ensemble Sandbox, aims to drive tokenization adoption, focusing on four main themes: fixed income and investment funds, liquidity management, green and sustainable finance, and trade and supply chain finance. The second project was called the GenAI Sandbox, which emphasizes the transformative power of artificial intelligence in finance, enabling the HKMA to draw insights and share good practices.

Expansion of Green and Sustainable Finance

Hong Kong has positioned itself to become a international hub for green and sustainable finance as the city has significant opportunities to strengthen its position as a global financial hub by leveraging its role as a gateway to Mainland China and the Greater Bay Area (GBA). According to research done by the HKTDC, Hong Kong can expand its role in green and sustainable finance, offshore renminbi (RMB) business, and wealth management, particularly by attracting high-net-worth individuals and family offices from across Asia.

As financial markets are beginning to increasingly prioritize the investments of ESG, Hong Kong has positioned itself as a leader in the issuance of green bonds and sustainability-linked bonds, providing funding for renewable energy and infrastructure projects. Hong Kong has emerged itself as Asia's premier green bond market which is supported by strong regulatory frameworks, and an expanding pool of ESG investors. For instance, the Hong Kong Monetary Authority (HKMA) has also introduced frameworks to promote Environmental, Social, and Governance (ESG) through its Green Sustainable Finance Grant Scheme which aims in subsidizing external review costs for green bond issuers and hence attracting investors worldwide who align with sustainable finance. Moreover, the HKMA have also created a Common Assessment Framework for green and sustainable investments, which ensures greater transparency and accountability across all ESG products. These frameworks are aligned with the other international ESG frameworks such as the Green Bond Principles and the Task Force on Climate Related Financial Disclosures (TCFD), empowering Hong Kong to attract global investors. Additionally, Hong Kong's role as a financial hub for the Greater Bay Area (GBA) also provides a platform to facilitate cross-border green financing projects, especially in Mainland China, which focuses on decarbonization and green infrastructure. With Mainland China committing to peak carbon emissions by 2030 and aiming to achieve carbon neutrality by 2060, the demand for the financing of green infrastructure, renewable energy, and climate resilience projects will keep on increasing within the GBA region.

Integration into the GBA Region

Hong Kong has significant opportunities to expand its role within the Guangdong-Hong Kong-Macao Greater Bay Area (GBA). The GBA region is an open and economically vibrant region with a population of over 86 million and a GDP exceeding RMB14 trillion in 2023. For instance, the GBA Wealth Management Connect Scheme facilitates cross-boundary wealth management, driving the growth of Hong Kong's local wealth management market while enhancing the entire financial services value chain, including product development, distribution, and asset management. Recognizing the importance of data in economic growth and digital transformation, Hong Kong has taken steps to promote secure cross-boundary data

flow within the GBA through initiatives such as the "Memorandum of Understanding on Facilitating Cross-boundary Data Flow" and the GBA Standard Contract, accelerating digital economy growth and reinforcing Hong Kong's position as an innovation hub. Additionally, Hong Kong is poised to benefit from enhanced fintech cooperation through the "Memorandum of Understanding on Deepening Fintech Innovation Supervisory Cooperation," linking Hong Kong's Fintech Supervisory Sandbox with similar initiatives in Mainland China and Macau to foster innovation and align with national development goals.

4. Threats

Political Uncertainty

As of April 2025, the United States have implemented a series of escalating tariffs on Chinese import, with the current cumulative tariffs on Chinese imports rising up to 145%. In retaliation, China has also imposed a cumulative total of 125% tariffs on all US goods, while also creating export restrictions on rare earth elements. The results of these tariff regulations have not only disrupted the global economy, but it also has introduced increasing levels of risk and volatility within the global market. In the case of a trade war between China and the United States, Hong Kong is particularly vulnerable in these situations due its role as a re-export hub. As a substantial part of goods traded between China and the United States pass through Hong Kong due to the city's advanced logistics infrastructure, the imposition of tariffs will most likely lead to a decline in trade volumes, affecting sectors such as shipping, warehousing, etc. This downturn in trade volumes will not only affect the import and export businesses, but it will also impact businesses who are involved in the trading of goods. Moreover, the political uncertainties surrounding these trade policies has prompted multinational corporations to reconsider their supply chain strategies. For instance, there may be more diversification of manufacturing and distribution networks to other regions within the APAC region due to their lower explosion to geopolitical tensions, such as Indonesia, Vietnam, India, etc.

Competition from other countries within the APAC Region

While Hong Kong still remains as one of the most competitive financial markets in the world, Hong Kong has begun to face competition from other Asian financial centers, such as Singapore, Shanghai, and Tokyo. These cities have all adopted strategic policies and investment incentives to attract global capital, investors, and high net worth individuals, placing immense pressure on Hong Kong.

Among these, Singapore has been successful in attracting businesses and wealth management clients due to its political stability, business-friendly environment, and lower cost of living

compared to Hong Kong. Specifically, Singapore's political reputation for having strong governance makes the country a haven for international investors and corporations. Unlike Hong Kong, which has experienced high levels of political uncertainty, Singapore is widely perceived as being isolated from geopolitical tensions. This neutral perception of Singapore has become a powerful factor for investors seeking more market stability and less volatility. Singapore has also taken several initiatives in improving their digital and financial innovation industry. For instance, the Monetary Authority of Singapore (MAS) has severely promoted FinTech innovations through its Smart Financial Centre. According to PwC, 55% of FinTech companies in Singapore are concentrated in Payments, Web3, and RegTech, indicating the country's strong emphasis on digital transactions, blockchain technologies, and regulatory technologies. Singapore's commitment in developing their financial infrastructure has allowed the country to attract top talent and foster innovation driven growth in ways that could rival Hong Kong's financial market.

Shanghai, meanwhile has also increased its presence as a Financial Hub, imposing a significant challenge to Hong Kong's dominance in the Financial Sector. The Chinese Government, in particular, has prioritized Shanghai's development as a global financial hub by creating policies such as the Shanghai Free Trade Zone and other initiatives such as the Shanghai-Hong Kong and Shanghai-London Stock Connect. The establishment of the Shanghai Free Trade Zone (FTZ) and the expansion of the Shanghai-Hong Kong Stock Connect and the Shanghai-London Stock Connect signal Beijing's intent to internationalize Shanghai's financial markets and promote greater capital market integration with the rest of the world. Moreover, Shanghai also benefits from direct policy support from the Chinese Government, as their financial development goals align seamlessly with China's long-term economic vision.

III. FUTURE OUTLOOKS & PROSPECTS

General Outlook: Overall Positive, But Still Cloudy

Outlook 1: Interest Rates Set to Fall

Currently, borrowers are facing higher-than-anticipated interest rates as the US will not have significant rate cuts. This means less demand for properties, prolonged tension about previous corporate loans dating back to the COVID-19 pandemic, and more property collateral being borrowed.

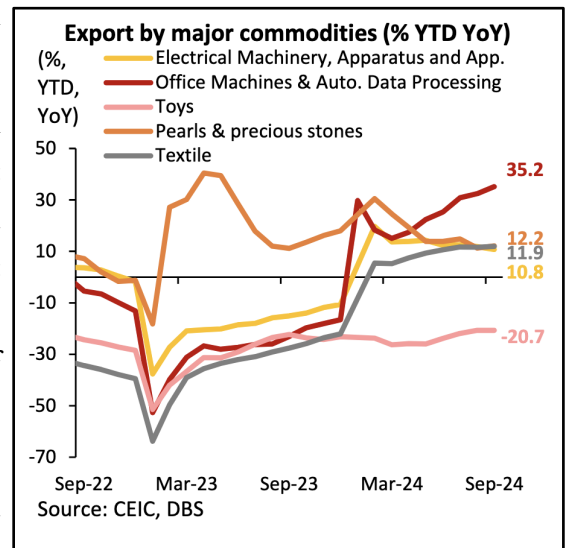


In terms of consumer borrowing, individuals turned to time deposits to take advantage of higher rates in previous years. However, with a projected decline in interest rates, individuals will pour money back into CASA accounts and back into the markets. “DBS’s equity strategist forecasts the HSI will appreciate 24% to around 24,000 points by late 2025 on potential market tailwinds” (DBS).

With mainland China relaxing its fiscal and monetary policy, mainland Chinese investors may look to borrow in Hong Kong as the spread between HKD-CNY narrows. This will help Hong Kong’s financing market to turn positive for the year of 2025.

Outlook 2: Exports Expected to Grow

CBRE reports a forecasted 2% GDP growth primarily driven by transition imports into mainland China. With the rapid growth of AI technologies and the quick speed at which it is being adopted, it is no surprise that electrical machinery and ADP are being exported at a growing rate. Within exports, Hong Kong is in a great place to continue to be the facilitator of these exports to and from mainland China. Especially with the rise of DeepSeek AI, which has caused disruption in the Western development of AI. From the figure above, office machines are showing the highest positive trend in major export commodities for Hong Kong. This is

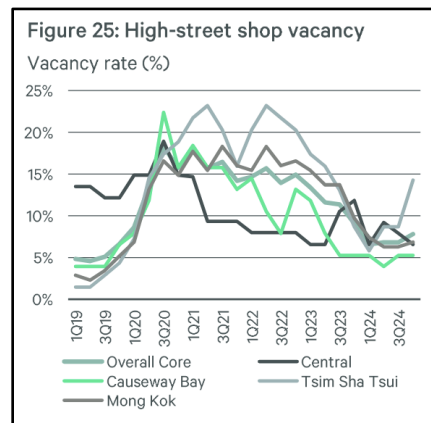
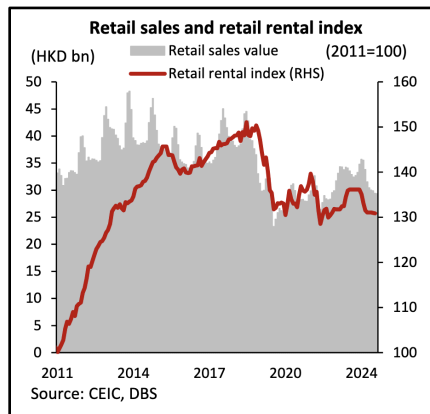


no surprise with the rise of return to office mandates occurring across the world which has driven up the demand for new and updated office machinery in the office. There may be a huge spike in these exports for 2025, but expect these exports to cool down once most companies have mandated RTO.

Outlook 3: Retail Expected to Struggle

The repercussions of the COVID-19 pandemic on top of the inflationary pressures and consumers change in character to frugality causes the retail industry to continue to struggle. Lately consumers are looking for more value in their spending, this has also led to weekends in mainland China or Japan due to the weak RMB and JPY. This places the retail industry and retail real estate market in a difficult time as they look for ways to bring back spending to their stores and adapt their strategy accordingly.

For the retail real estate market, they are not struggling as much as tailored food and beverage options catering to migrants will draw in consumers. Emerging food concepts who will cater to the crowd looking for low-cost options will push out struggling retailers to produce a different looking landscape in the years to come.



2. Future Prospects

Prospect 1:

Financial Technologies

To futureproof the Hong Kong financial markets, firms will need to adopt fintech by creating new infrastructure and expanding their current fintech workforce. KPMG is actively working with the HKMA to roll out new fintech strategies successfully. These technologies will not only incorporate AI into the bank's legacy systems but also be an adaptation of distributed ledger technologies, which record transfers of digital currencies without a central authority.

This will be particularly useful as Hong Kong develops its own Central Bank Digital Currency called the eHKD. (KPMG, 2024)

These CBDCs would serve as fiat money and could be exchanged like banknotes and coins. This would decrease the cost of maintaining a financial system with paper payments and reduce cross-border transaction costs, which Hong Kong would like to do as it serves as the bridge between Mainland China and the rest of the world. Paired with a projected growth in exports to other countries, the incentive is great.

The HKMA is looking at using CBDCs for international money transfers, but the ultimate goals for their project would be to have them widely used for both wholesale and retail sectors.

Commercial Data Interchange (CDI), which was launched in October 2022, has made it easier for banks to be able to gain information on potential customers and process loan applications faster. As of March 2024, more than 40 banks were participating in the CDI scheme, and around 19,000 loan applications and reviews had been carried out with an estimated HK\$17 billion in credit approvals granted (KPMG, 2024)

These are just a couple of large projects within the HKMA's plans for all banks to go fintech and develop an ecosystem which can bridge mainland China and the world.

Prospect 2: Booming IPO Market

As mentioned previously, Hong Kong is one of the top global stock markets in the world as it attracts investors and firms from around the world and bridges them to mainland Chinese investors and firms. With mainland China relaxing their fiscal and monetary policy, encouraging firms to go for H-share listing in Hong Kong, and the interest rates expected to drop. "All of these forces coming together have allowed Deloitte to forecast the IPO volume in Hong Kong to rise by 70% to HK\$150 billion (US\$19.3 billion)" (Chuang, 2024). The new listings should come from mainland Chinese companies who are already listed in Shanghai or Shenzhen which should make it easier for them to be listed in Hong Kong as well.

"This rise in the number of IPO listings will stimulate trading activity, enhance liquidity, and increase transaction volumes, facilitating the return to reasonable stock valuation ranges" (PwC, 2025). By drawing more investors to Hong Kong, HKEX can explore having more top global companies listed in Hong Kong potentially by spinning off their Asia divisions then listed in Hong Kong.

Overall, this is a perfect time to become listed for any company as individual investors are looking for more places to park their money as their savings accounts are set to lose the kind of return they have been receiving the past couple of years.

Prospect 3: Export Hub for AI Technologies

With the growth of AI technologies and the amount of electronics exports being sent out of Hong Kong, the financial markets will greatly benefit with continued focus on exports to other parts of Asia and the world. As mentioned before, Hong Kong's connectivity to the world and as an transition export hub already for numerous products from mainland China will allow them to more easily expand and ship more units out. Tariffs were expected from the United

States under the new president, but as of recently electronics exports will be exempt from tariffs. There is great incentive for mainland China and Hong Kong as the economies of scale shifts to allow more units to be made at a profit and more units to be exported out.

When talking about Fintech and the hub Hong Kong will be for those technologies as well, primarily driven by AI, Hong Kong's financial markets stand in a strong position set for the future specifically when it comes to technology.

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